BUSINESS TRACK · DETAILED SUBMISSION · ROUND 2




# Building Meesho's Consumer-to-Manufacturer (C2M) Base

## FACTORY DIRECT

*Screen manufacturers on price, not size, and let them make only what is already sold. 1,400 factories by Year 4 put ₹1,995 cr of NMV 8%-12% below market, for a five-year NPV of ₹75 cr on ₹22.2 cr of capped Year-1 cash.*

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Live prototype: meesho-dice-c2m-iitb.vercel.app

# Buyers follow price and 35% of MSMEs want online sales, but returns, stock risk and know-how keep factories offline

PRIMARY RESEARCH

## Objective: a factory base that sells cheaper, and stays

**Bring cost-advantaged factories onto Meesho through Factory Direct, and keep them.**

**As-is:** Factory › Wholesaler +15% › Reseller › Buyer

- Mark-ups stack before the buyer
- Reseller's lowest viable price ₹220: 5.4% above market
- Stock and returns sit with resellers

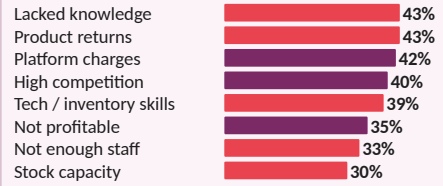
**To-be:** Factory › Pre-order › Factory Node › Buyer

- No intermediary mark-up
- Factory's lowest viable price ₹180: 13.8% below
- Made only to confirmed orders

**≈ ₹1,049 cr a year** of wholesaler mark-up sits inside Meesho's nine C2M categories
= ₹41,560 cr FY26 NMV × 40% in C2M categories × 6.3% mark-up share of price

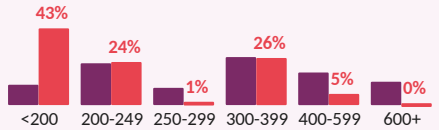
## Three data sets: why factories quit, what buyers pay, what buyers would trade

**2,365 — ICRIER MSME survey**
Why firms that tried e-commerce quit (% of quitters)




Coral = operational: a node and batches remove them. 1 in 5 that joined quit; 35% still want to join.

**279 — Team teardown, meesho.com**
Live listings, 5 product types, 2 Oct 2026




Under ₹200: 11% of listings, 43% of reviews. Buyers pay 3-37% below listing medians.

**n — Team buyer survey**
Meesho buyers, last 3 months (kit: research/13)

*[FILL: Q6-Q8 price ladder: % choosing 7-8 day delivery at ₹10 / ₹20 / ₹40 off · Q9 % paying in advance · Q10 trust in "Sold directly by the manufacturer" · base n on each chart]*

*[FILL: takeaway: the majority answer and its implication]*

## Challenges to solve

**Price discovery**
- ✓ Scale ≠ price
- ✓ List prices overstate demand

**Unit operations**
- ✓ Pick, pack, ship per order
- ✓ Returns handled by the factory

**Inventory & cash**
- ✓ Build-to-stock risk
- ✓ 45-60 day distributor terms

**Demand & visibility**
- ✓ No reviews at the start
- ✓ District demand unknown

**Retention**
- ✓ Gap decays after the badge
- ✓ Quality slips with price

**5 barriers → 6 levers, each owned by a Meesho team**

## Manufacturer interviews: what blocks them, by cohort (Round 1, 8 per cohort)

**24** owner interviews, cohorts A, B, C

| Barrier (severity) | Fulfilment | Inventory risk | Returns, RTO | Unproven demand | Cash cycle | Channel conflict |
|---|---|---|---|---|---|---|
| Cohort A | HIGH | HIGH | HIGH | HIGH | MED | HIGH |
| Cohort B | LOW | MED | MED | MED | LOW | HIGH |
| Cohort C | MED | HIGH | HIGH | HIGH | MED | LOW |
| Meesho can fix | YES | YES | YES | YES | PARTLY | PARTLY |

## Stakeholders' voice: published owner and leader interviews (verbatim, ≤ 25 words)

| Stakeholder | Opinion (verbatim) | Problem | Problem area | Suggestion for Meesho |
|---|---|---|---|---|
| VM Navamani, MD, Cossmo Tex (Tiruppur) | *"Currently, domestic business is about 20%, and we are planning to increase it to 35-40% … because export markets are mostly volatile."* | Export orders swing with tariffs | Demand | **Pitch C2M as a permanent domestic hedge, not a rescue** |
| Ashwin Kumar, Managing Partner, NASA Impex (Tiruppur) | *"Orders of around 100 pieces tend to double costs … so 500 pieces is our preferred minimum."* | Small runs cost twice as much per piece | Operations | **Demand Brief pools district demand into batches of 500+** |
| Vinod Dhamija, Chairman, HCCI Panipat chapter | *"Panipat's exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly."* | Idle looms, weak domestic orders | Demand, cash | **Panipat is pilot cluster 2; 30% paid at handover** |
| Vidit Aatrey, CEO, Meesho (Q4 FY26 call) | *"If their quality is not that great, they do not get visibility for orders."* | New sellers start with no orders | Visibility | **Impression grants for new factories, not order subsidies** |

**Decision: build Factory Direct around the operational barriers (returns, stock risk, unit shipping, cash), not discounts. Owner: Category + Product.**

Sources: S2 Q4 FY26 call · S3 FY26 results · S4 ICRIER 2025 · S9 The Tribune · S10 team teardown, 2 Oct 2026 · S21 Apparel Resources · S22 Round 1 interviews | Assumptions: A6, A22-A24 | Survey kit and method: Appendix B

# 11,645 manufacturers can carry a real price gap; offline B2B factories (8,400) in hosiery and home textiles go first

SEGMENTATION

## Segment evaluation: 12 category segments × 4 cost metrics (weighted)

| Segment (category) | Cluster | Floor 40% | Idle 20% | Returns 25% | Freight 15% | Score |
|---|---|---|---|---|---|---|
| Saree & dress material | Erode, Bhiwandi | ✓ | ✓ | ✓ | ✓ | 5.0 |
| Home textiles | Panipat, Solapur | ✓ | ✓ | ✓ | - | 4.7 |
| Moulded plastics | Rajkot, Daman | ✓ | ✓ | ✓ | - | 4.7 |
| Hosiery & innerwear | Tiruppur, Ludhiana | ✓ | - | ✓ | ✓ | 4.6 |
| Imitation jewellery | Rajkot, Coimbatore | ✓ | ✓ | - | ✓ | 4.5 |
| Basic footwear | Agra, Bahadurgarh | ✓ | ✓ | - | ✓ | 4.5 |
| Steel kitchenware | Jagadhri, Wazirpur | ✓ | - | ✓ | - | 4.3 |
| Brass décor | Moradabad | ✓ | ✗ | ✓ | - | 3.9 |
| Bags | Nangloi, Kolkata | - | ✓ | - | ✓ | 3.7 |
| Fitted western wear | Gandhi Nagar, Bengaluru | - | ✓ | ✗ | ✓ | 3.2 |
| Electronics accessories | Import-assembly | ✗ | ✓ | - | ✓ | 2.9 |
| Ethnic wear | Surat | ✗ | ✓ | ✗ | ✓ | 2.4 |

**Rows 10-12 fail two tests: not now.** Floor ✓ = factory cost ≥ 12% under the demand-weighted median; Returns ✓ = low return band; Freight ✓ = light for its value.

## Market sizing: TAM → SAM → SOM (firms)

| 4.72 cr | 5.28 lakh | 1.85 lakh | 55,451 | 19,408 | 11,645 | 1,400 |
|---|---|---|---|---|---|---|
| | 1.1% | 35% | 30% | 35% | 60% | 12% |
| Udyam-registered MSMEs | Above micro (small + medium) | In manufacturing | Make Meesho's categories | Own 3+ of 4 cost levers | Inside the 12 screened clusters | Active C2M sellers by Year 4 |

**TAM** 55,451 make Meesho's categories · **SAM** 11,645 own ≥ 3 of 4 cost levers in the 12 clusters · **SOM** 1,400 active by Year 4 (12%) = ₹1,995 cr run-rate NMV

## Target manufacturer personas (cohort score out of 5)

### Export-hit knitwear owner — 4.35
**Cohort A · Tiruppur**
₹10-50 cr turnover · Cohort A = 72% of SAM ≈ 8,400 firms

**Barrier:** No unit-level ops; making to stock is a balance-sheet change
**Motivation:** Idle lines after the US tariff; wants a domestic hedge
**Needs:** Confirmed orders · no packing team · cash before 45-60 days
**Reach:** Association camps, 40-60 units each

### Domestic home-textile maker — 4.35
**Cohort A · Panipat**
Small and medium units, bulky low-return SKUs

**Barrier:** Bulky SKUs; no way to handle online returns
**Motivation:** Exports −50%, domestic −35% this year: idle looms
**Needs:** Steady domestic orders · bulk freight · price check first
**Reach:** HCCI Panipat chapter; Udyam lists

### Churned Meesho manufacturer — 3.55
**Cohort C · Ludhiana, Surat**
Cohort C = 9% of SAM ≈ 1,050 firms

**Barrier:** Weak first 30 orders, then a returns or RTO shock
**Motivation:** Catalogue and KYC already done: sunk effort to reuse
**Needs:** Returns capped at the node · early orders · penalty-free re-entry
**Reach:** Dormant-seller list; one WhatsApp re-invite

### Online-elsewhere D2C maker — 3.05
**Cohort B · metros**
Cohort B = 19% of SAM ≈ 2,200 firms

**Barrier:** ₹800+ basket catalogue loses money at a ₹265 order value
**Motivation:** 274 mn buyers and Tier-2+ reach it lacks elsewhere
**Needs:** Value-tier SKUs, not discounts · no brand dilution
**Reach:** Seller agencies; price-check link

## Least likely to adopt

**Surat ethnic-wear traders**
- ✗ Job out weaving and stitching: no cost ownership
- ✗ Worst return band; cluster AHP last (3.28)

**Import-assemblers**
- ✗ Electronics accessories: cost set by imports
- ✗ Any price gap must be funded: a subsidy

**Fitted western-wear makers**
- ✗ Size returns swallow the cost edge
- ✗ ₹150 fee on every return

**Premium D2C lines (Cohort B)**
- ✗ Brand dilution at a ₹265 order value
- ✗ The one barrier Meesho cannot fix

## Recommendation to Meesho

- ✓ **Focus** on Cohort A in hosiery (Tiruppur) and home textiles (Panipat): top cost edge, low returns.
- ✓ **Re-invite** Cohort C in parallel: KYC and catalogues already on file.
- ✓ **Offer** Cohort B a separate value-tier range, never a discount on brand lines.
- ✓ **Screen** every seller on price, not turnover: 7 of the 10 largest prototype sellers fail.

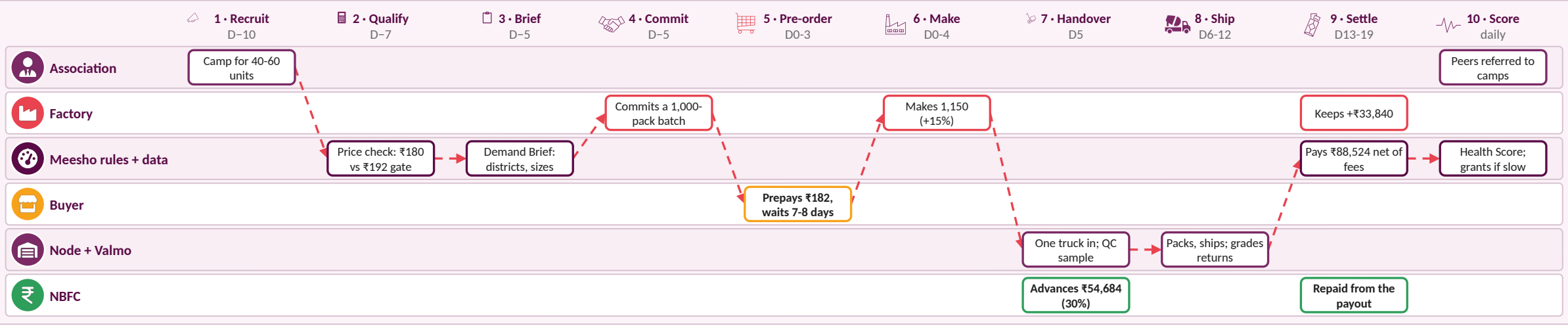
**Decision: target Cohort A in hosiery and home textiles first, re-invite Cohort C in parallel, offer Cohort B value-tier only. Owner: Category · KPI: 60 factories catalogued by Day 60.**

Sources: S5 MSME limits · S7 Udyam · S9 · S11 return fee · S20 category mix · S22 Round 1 (12-category screen, 24 interviews, cohort split) | Rubrics: Appendix C | ✓ = 5, - = 3, ✗ = 1 | Personas are composites, not real firms

# Six users, one flow: buyers prepay, factories make, nodes ship, an NBFC funds and Meesho runs the rules

USERS & FLOW

## End-to-end flow for one 1,000-pack prepaid batch: who does what, and when (D = day of the pre-order window)




## Six user personas (resellers are affected, not users: the badge is capped at 20% of category impressions)

### Value-seeking buyer
Tier-2+ shopper · ~10 orders a year

**Wants:** lowest price, reliable delivery, easy returns

**Pain:** 63% still pay cash on delivery; unsure about prepaying for a 7-8 day wait

**Does:** prepays ₹182 for a 3-pack instead of ₹209

**Gets:** ₹26.7 off a pack; a "Sold directly by the manufacturer" badge

**Uses:** Meesho app; UPI pre-order at checkout

KPI: Prepaid share ≥ 68.5%

### Factory owner
4 factory personas: cohorts A, A, C, B

**Wants:** orders before cutting fabric; no packing team

**Pain:** build-to-stock risk; 45-60 day distributor terms

**Does:** price check, commits batches, drops stock in bulk

**Gets:** ₹18.3 a pack vs ₹7.9 ex-factory; cash in ~11 days

**Uses:** Supplier app, WhatsApp, voice agent

KPI: First batch ≤ 14 days

### Category manager
Meesho · ~910 C2M sellers each

**Wants:** category NMV protected; few manual cases

**Pain:** cannot chase hundreds of sellers by phone

**Does:** acts only when a score stays below 40 after an automatic fix

**Gets:** control tower: price screen, Health Score queue, Day-30 readout

**Uses:** Control-tower dashboard (prototype)

KPI: ≤ 5 escalations per 100 a month

### Node operator
Partner 3PL in the cluster; Valmo delivers onward

**Wants:** steady daily volume; clean order data

**Pain:** idle space between seasons

**Does:** takes bulk drops; picks, packs, ships; grades returns

**Gets:** ₹20 a unit (pack ₹6, handle ₹9, freight ₹5); ₹1.3 cr set-up support

**Uses:** Order feed from Meesho; Valmo pickups

KPI: 95% shipped within 48 h

### NBFC partner
Lender to marketplace sellers

**Wants:** short, low-risk loans

**Pain:** cannot see small factories' order flow

**Does:** advances 30% of confirmed pre-order value at handover

**Gets:** repaid from the payout ~7 days after delivery; buyers already prepaid; Meesho covers the first 1% of losses

**Uses:** Confirmed-order data shared by Meesho

KPI: Advance within 24 h; losses ≤ 1%

### Cluster association
Tiruppur and Panipat industry bodies

**Wants:** orders for members hit by export swings

**Pain:** Panipat exports −50%, domestic −35%

**Does:** hosts camps of 40-60 units; vouches for members

**Gets:** domestic demand for members; MSME-TEAM co-funding, ₹277 cr scheme

**Uses:** Camps, member WhatsApp groups

KPI: ≥ 50% of camp units listed

**Decision: sign the three partner roles before the first batch (two associations, one Tiruppur node, one NBFC); first prepaid batches in Week 10. Owner: Category + Valmo + Finance · KPI: all signed by Day 60.**

Sources: S1 (10.3 orders per buyer a year; 37% of shipped orders prepaid), S9, S12 (₹24 SMB fulfilment), S18 MSME-TEAM, S26 seller loans; prototype (~910 sellers per manager) | Flow numbers: one 1,000-pack batch | Personas are composites, not real people or firms

# Big idea: Factory Direct lets a factory sell to 274 mn buyers without an e-commerce team, reached through cluster camps

AWARENESS & STRATEGY

## Behaviour change, one factory owner (illustrative): from export shock to repeat batches

**Day −30** — Murugan's US order is cut under the 50% tariff; a third of his knitting lines sit idle.

1 → **Day −10** — At a Tiruppur association meet, Meesho's cluster team runs a Factory Direct camp for 50 units.

2 → **Day −7** — He sends his making cost on WhatsApp: lowest viable price ₹180 vs the ₹192 gate. He qualifies.

3 → **Day −5** — A Demand Brief shows which districts buy men's briefs; he commits a 1,000-pack prepaid batch.

4 → **Day 5** — One truck to the Tiruppur node: ₹54,684 lands at handover; the node ships every order.

5 → **Day 13-19** — Paid ₹33,840 more for kept orders, net of fees; he refers two neighbouring units.

6

**Trigger: export shock** | **Lever: cluster camp** | **Lever: price check** | **Lever: Demand Brief + pre-order** | **Lever: node + 30% advance** | **Outcome: repeat + referral**

## Rationale: why factories switch

- ✓ No pick-pack-ship team needed
- ✓ Make only confirmed orders (+15%)
- ✓ 30% cash at handover, rest in ~11 days
- ✓ ₹18.3 a pack vs ₹7.9 ex-factory
- ✓ Domestic hedge against export swings
- ✓ 0% commission; ₹0 RTO fee

## Channels to reach factories: ATL · TTL · BTL (segment each one targets)

### ATL reach

- **Regional business news + YouTube explainers** in Tamil and Hindi (A)
- **Supplier-app banner** to 1.04 mn existing sellers (C)

### TTL reach

- **WhatsApp + Gen-AI voice agents** in local languages, already live at Meesho (A, C)
- **Price-check link** shared by seller agencies (B)

### BTL reach

- **Association camps** Tiruppur and Panipat bodies, 40-60 units each (A)
- **MSME-TEAM / ONDC workshops** ₹277 cr scheme to co-fund camps
- **Dormant-seller re-invite** one WhatsApp, KYC on file (C)

## Cluster camps: why · what · how

**Why?** Factories sit together: ~3,200 knitwear units in Tiruppur; ~₹60,000 cr turnover in Panipat.

**What?** Live price check, Demand Brief demo, node visit, GST and KYC desk.

**How?** The association hosts; 40-60 units a camp; a factory can list the same day.

**Measure:** units attended → price checks → listed → first batch, per camp.

## The offer: product · promotion · place · price

### Product

Factory Direct stack: price check, Demand Brief, pre-order window, Factory Node, 30% advance, returns firewall. One supplier app, six levers.

### Promotion

Camp + WhatsApp campaign "Your factory, India's buyers"; buyers see "Sold directly by the manufacturer" and the price gap.

### Place

Tiruppur and Panipat first, 12 clusters by Year 4, one partner node each; supplier app, WhatsApp and voice agent.

### Price

0% commission · node fee ₹20/unit · ₹0 RTO fee · ₹10 pre-order discount, funded by the ₹11 batch saving

## Bottlenecks and solutions

**Distrust after returns shocks →** returns end at the node; a pool caps losses.

**Export orders return (tariff now 18%) →** batches fill idle lines between export runs.

**Fear of a price squeeze →** the gate rewards a gap that exists; Meesho never asks for cuts.

**Decision: launch Factory Direct camps with the Tiruppur and Panipat associations. Owner: Category + Growth · KPI: 40-60 units a camp, ≥ 50% of qualified factories listed within 30 days.**

Sources: S1 (274 mn buyers; 1.04 mn sellers; Gen-AI voice agents), S8 Tiruppur, S9 Panipat, S18 MSME-TEAM, S21 | Story is an illustrative composite (Murugan is not a real person); its numbers come from the model (Appendix B) | Assumptions: A10, A20, A22, A32

# Of three ways to bring factories online, only Factory Direct removes unit operations, stock risk and returns within FDI rules

MODEL COMPARISON

## 1 · Open marketplace (factory self-ships)

*The factory lists, then packs, ships and takes back every return itself.*

Factory → Packs each order → Courier → Buyer

- **Factory does:** list, pack, ship, take back returns
- **Platform does:** storefront, payments, courier
- **Result:** lowest viable price ₹194, 7.2% below: fails the 8% gate

Who runs it: Meesho today · Amazon · Flipkart

VS

## 2 · Fully managed (platform buys and holds stock)

*The factory sells stock to the platform, which prices, stores and ships it.*

Factory → Platform buys → Platform warehouse → Buyer

- **Factory does:** make to the platform's purchase order
- **Platform does:** buy, price, store, ship, handle returns
- **Result:** not allowed: an FDI marketplace may not own seller stock

Who runs it: Temu (fully managed) · Shein

VS

## 3 · Factory Direct (seller-owned stock at a node)

*The factory makes confirmed pre-orders and drops them in bulk; a partner node ships and takes returns.*

Factory → Pre-order batch → Factory Node → Buyer

- **Factory does:** make confirmed batches, keep title
- **Node and Meesho do:** pick, pack, ship, returns; demand data, gate
- **Result:** lowest viable price ₹180, 13.8% below: clears the gate

Who runs it: Temu semi-managed · Pinduoduo · Taobao C2M

## Comparison of C2M operating models (✓ removes the barrier · - partly · × no)

| Strategy considered | Advantages | Disadvantages | Unit ops | Stock risk | Returns | FDI-legal | Low capex |
|---|---|---|---|---|---|---|---|
| 1 · Open marketplace | No capex; the factory keeps control | Needs a packing and returns team; builds stock blind; ₹72 logistics per pack | × | × | × | ✓ | ✓ |
| 2 · Fully managed | The factory only makes; the platform runs everything | Platform owns inventory: barred for FDI marketplaces (Press Note 2); price-squeeze risk | ✓ | ✓ | ✓ | × | × |
| 3 · Factory Direct | Node runs unit ops; batches only for confirmed orders; seller keeps title | Needs node partners (₹1.3 cr each) and a 7-8 day pre-order wait | ✓ | ✓ | ✓ | ✓ | - |

***What a tick means:*** *the model takes that barrier off the factory entirely (unit ops, stock risk, returns), is allowed for an FDI-funded marketplace, or needs under ₹2 cr of Meesho capex per cluster.*

**Temu:** moved US sellers to semi-managed: 20% of US GMV by Q3 2024 — TEMU

**Shein Brazil:** 336 of 2,000 factories signed; 1 still producing after price-cut asks — SHEIN

**Meesho Valmo:** started as a capped H2 bet; now 50-55% of deliveries — meesho

## Costs considered per model (₹ per 3-pack kept)

| Cost line | Self-ship | Factory Direct |
|---|---|---|
| Logistics (forward + pack / node) | 72.4 | 68.4 |
| Unsold stock | 5.6 | 0.9 |
| Working capital | 2.2 | 0.4 |
| Returns (₹150 each) | 13.0 | 13.0 |
| **Lowest viable price** | ₹194 | ₹180 |

**Fully managed:** not costed; an FDI marketplace may not own seller stock.

**Meesho's cost:** ₹1.3 cr set-up per partner node; 12 nodes by Year 4.

**Node fee:** ₹20 a unit (pack ₹6, handle ₹9, bulk freight ₹5) vs ₹24 for SMB fulfilment.

**Decision: build Factory Direct (seller-owned stock at partner nodes plus prepaid batches); Meesho never takes title to stock. Owner: Valmo + Legal · KPI: zero inventory-control findings.**

Sources: S1, S2 (Valmo 50-55% of deliveries), S16 Temu semi-managed, S17 Shein Brazil, S12 SMB fulfilment fee, S19 Press Note 2 (marketplace may not own or control seller inventory), S23-S25 | Costs per pack from the unit-economics table; workings in Appendix C

# Pinduoduo, Taobao, Temu and Shein built C2M on demand data and small batches; RICE puts the ₹0 price gate first

BEST PRACTICES

## Best practices: five platforms × five dimensions

| Parameter | Pinduoduo NBI · China | Taobao C2M · China | Temu semi-managed | Shein on-demand | Shein Brazil (avoid) |
|---|---|---|---|---|---|
| Strategy used | Anonymised demand data to factories | Factory-direct value app (Taobao Deals) | Merchant stock in local warehouses; platform storefront | Test every product in a small first batch | Local factories asked for ~30% price cuts |
| Scale (dated) | **900+ factories, 2,200+ custom SKUs, 115 mn+ orders, end-2019** | **Target 10 bn new orders in 3 yrs, 2020; 280 mn buyers, 2021** | **20% of US GMV, Q3 2024; +80,000 merchants planned** | **100-200 item first runs (2024)** | **336 of 2,000 signed; 1 producing, Feb 2026** |
| Data and tech | Search and order data, anonymised | Consumer insight for product R&D | Platform pricing and traffic | Real-time sell-through decides restocks | Demands without demand data |
| Risk-sharing | Factory keeps its brand; co-developed SKUs | Alibaba finance arms lend to factories | Merchant holds stock and returns risk | Shein absorbs the test-batch risk | Factory bears all cost of the cuts |
| Meesho copies | Demand Brief | NBFC batch prepayment | Seller-owned node stock | Confirmed-order batches | Never ask for price cuts |

Pattern: **every winner gave factories demand data or finance before asking for anything; the one failure asked for price cuts and gave nothing.**

## Benefits analysis of Factory Direct (master model)

| | | | | | |
|---|---|---|---|---|---|
| **−13.8%** | **2.3×** | **~11 days** | **−4.7 pts** | **₹5.8** | **2%** |
| buyer price vs the ₹209 market (briefs) | factory margin a pack: ₹18.3 vs ₹7.9 ex-factory | cash cycle vs 45-60 days on distributor terms | failed deliveries per C2M order (prepaid pre-orders) | Meesho value per C2M order | unsold stock vs 10% building to stock |

## Inspiration: what we copy, in order

**Measure** the gap → **Share** demand → **Batch** on orders → **Stock** near buyers

*Pinduoduo/Taobao → Pinduoduo → Shein → Temu*

## Potential pitfalls and our guardrail

- **Price squeeze (Shein Brazil):** the gate measures a gap that exists; no price asks
- **Platform-owned stock (Temu full-managed):** seller keeps title; the node is an arm's-length 3PL
- **Order subsidies:** impressions, never rupees per order
- **Capex before demand:** no node before the Day-30 gate

## R.I.C.E. prioritisation: score = reach × impact × confidence ÷ effort

| Lever | Reach | Impact | Conf. | Effort | Score | Yr-1 |
|---|---|---|---|---|---|---|
| 1 · Price gate + C2M badge | 900 | ★★☆ | 90% | 2 p-m | 810 | ₹0 |
| 2 · Health Score + rulebook | 900 | ★★☆ | 85% | 3 p-m | 510 | ₹0 |
| 3 · Cluster co-op onboarding | 810 | ★★☆ | 85% | 3 p-m | 459 | ₹5.0 cr |
| 4 · District Demand Brief | 900 | ★★☆ | 75% | 4 p-m | 338 | ₹6.0 cr |
| 5 · Prepaid pre-order batches | 765 | ★★★ | 70% | 5 p-m | 321 | ₹0 |
| 6 · Factory Node (partner 3PL) | 900 | ★★★ | 80% | 8 p-m | 270 | ₹7.8 cr |
| 7 · Batch prepayment (NBFC) | 675 | ★★☆ | 70% | 4 p-m | 236 | ₹0.2 cr |
| 8 · Returns firewall pool | 630 | ★★★ | 65% | 6 p-m | 205 | ₹3.0 cr |

Sequence: diagnostic and free first, capital last. RICE order already respects dependencies: batches need the brief, prepayment needs batches, the firewall needs the node.

**Decision: build in RICE order (price gate → Health Score → co-ops → Demand Brief → batches → node → prepayment → firewall); never ask a factory for a price cut. Owner: Strategy.**

Sources: S15 KrASIA, S16 Tech Buzz China, S17 Reuters, S23 Xinhua, S24 Alibaba results, S25 AFP · benefits from the master model | RICE: reach = sellers touched in Year 2; effort = person-months; full benchmark table: Appendix C

# Seven stages, each with a trigger, a non-cash nudge and a KPI, turn first batches into repeat factories without subsidy

JOURNEY & SCALE-UP

## Manufacturer journey: actions, touchpoints, emotions, pain points, interventions, KPIs

| Stage | When | Manufacturer action | Touchpoint | Feels | Pain point | Meesho intervention (automatic) | KPI target |
|---|---|---|---|---|---|---|---|
| Discover | D−30 | Hears of it at an association camp | Camp, WhatsApp | Sceptical | *"Platforms mean returns"* | Live price check at the camp | **Camp → price check ≥ 60%** |
| Qualify | D−7 | Enters making cost | Supplier app | Hopeful | *Unsure of the real market price* | Gap vs the demand-weighted median | **Qualified → listed ≥ 50% in 30 days** |
| First batch | D0-5 | Commits a prepaid batch | Demand Brief, node | Anxious | *Fear of unsold stock* | Make orders + 15%; 30% advance | **First batch ≤ 14 days** |
| Activate | D0-14 | Watches first orders | Score card | Worried | *No reviews, slow orders* | Starter impressions; +25K grant if < 60% | **≥ 60% of cohort orders at D7, D14** |
| Diagnose | Daily | Reads the weekly score | Health Score | Informed | *Unclear what to fix* | One rule-based fix at a time | **Days to recover** |
| Graduate | D30+ | Scales batches | Prepayment | Confident | *Working capital* | Prepayment at score ≥ 80 for 30 days | **≥ 40% graduated by D60** |
| Retain | D60+ | Repeats; refers peers | Weekly brief, Mall | Loyal | *Export orders return* | Weekly brief; Meesho Mall path | **Active at D90 ≥ 75%** |

## Incentives (non-cash) and nudges, stage by stage

| Stage | Incentive | Nudge |
|---|---|---|
| Discover | Free price check | Peer stories at the camp |
| Qualify | C2M badge + re-rank | Your gap vs the market |
| First batch | 30% cash at handover | Batch size from the brief |
| Activate | +25K impressions × 7 days (max 2) | WhatsApp: grant applied |
| Diagnose | Fix suggestions | One fix, not ten |
| Graduate | Prepaid batches unlocked | Graduation progress bar |
| Retain | Meesho Mall path | Top-factory list at camps |

## Seller Health Score: 0-100, daily

| | |
|---|---|
| 30% | Price gap held |
| 25% | Order pace vs cohort |
| 20% | Quality returns |
| 15% | On-time dispatch |
| 10% | In-stock |

**≥ 80 for 30 days → graduate · < 40 after a fix → a person**

## Rulebook: 9 automatic actions, 1 human

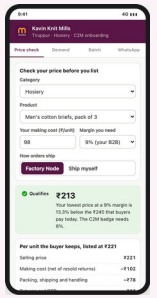
| Signal | Action |
|---|---|
| Orders < 60% at D7/D14 | Grant |
| Gap < 8% for 7 days | Price nudge |
| Gap < 4% for 3 days | Badge off |
| Returns > 1.5× norm | QC hold |
| On-time < 90% (7 days) | Node offer |
| In-stock < 70% | Restock nudge |
| Score ≥ 80 × 30 days | Prepayment |
| Score < 40 after a fix | A person |

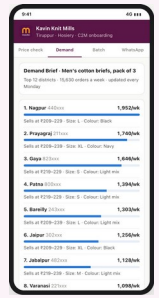
## Grants scale; people don't

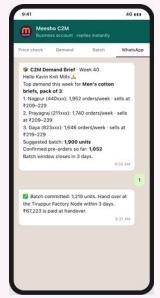
**90:3** automated vs human actions in the 60-seller simulated pilot

**~910 sellers per category manager;** 1,400 sellers need ~2 reviewers, not ~70 account managers. Grant cost: ₹3,750 per seller at most, **20× cheaper than ₹10 an order for 30 days.**

## Channels: WhatsApp, voice agent, supplier app (prototype)


Price check


Demand Brief


WhatsApp nudge

**Decision: switch on grants, the Health Score and the rulebook with the first 60 sellers; cap grants at 20% of category impressions. Owner: Growth + Data Science · KPI: active at D90 ≥ 75%.**

Sources: S1 (seller tools: demand intelligence, faster visibility for new sellers, Gen-AI voice agents), S2 | Assumptions: A19 (₹75 per 1,000 impressions); a category manager reviews 40 escalations a month | Prototype: synthetic 60-seller pilot, fixed seed

# Tiruppur and Panipat top the cluster AHP (CR 0.016); factories qualify only with 60% of SKUs 8% below market

CLUSTER CRITERIA

## Selection criteria and reasoning

| Criterion | Reasoning | Data source |
|---|---|---|
| Cost ownership | Own raw material, production, scale, automation → a real price edge | Round 1 cost-lever index |
| Demand on Meesho | The category already sells at volume on Meesho | Teardown; category mix |
| Returns band | Low returns protect the cost edge | Return math; seller guides |
| Node feasibility | A partner warehouse and a Valmo lane nearby | Valmo network |
| Institutional partner | An association that recruits 40-60 units a drive | Tiruppur, Panipat bodies |

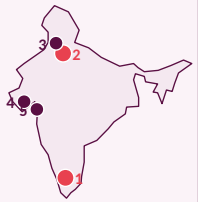
## AHP pairwise matrix (CR 0.016 < 0.10: consistent)

| Criteria | | C1 | C2 | C3 | C4 | C5 | Geo. mean | Weight | Rank |
|---|---|---|---|---|---|---|---|---|---|
| Cost ownership | C1 | 1 | 1 | 2 | 3 | 4 | 1.89 | 0.338 | 1 |
| Demand on Meesho | C2 | 1 | 1 | 1 | 2 | 3 | 1.43 | 0.256 | 2 |
| Returns band | C3 | 1/2 | 1 | 1 | 1 | 2 | 1.00 | 0.179 | 3 |
| Node feasibility | C4 | 1/3 | 1/2 | 1 | 1 | 2 | 0.80 | 0.144 | 4 |
| Institutional partner | C5 | 1/4 | 1/3 | 1/2 | 1/2 | 1 | 0.46 | 0.083 | 5 |

## Cluster scoring → choice

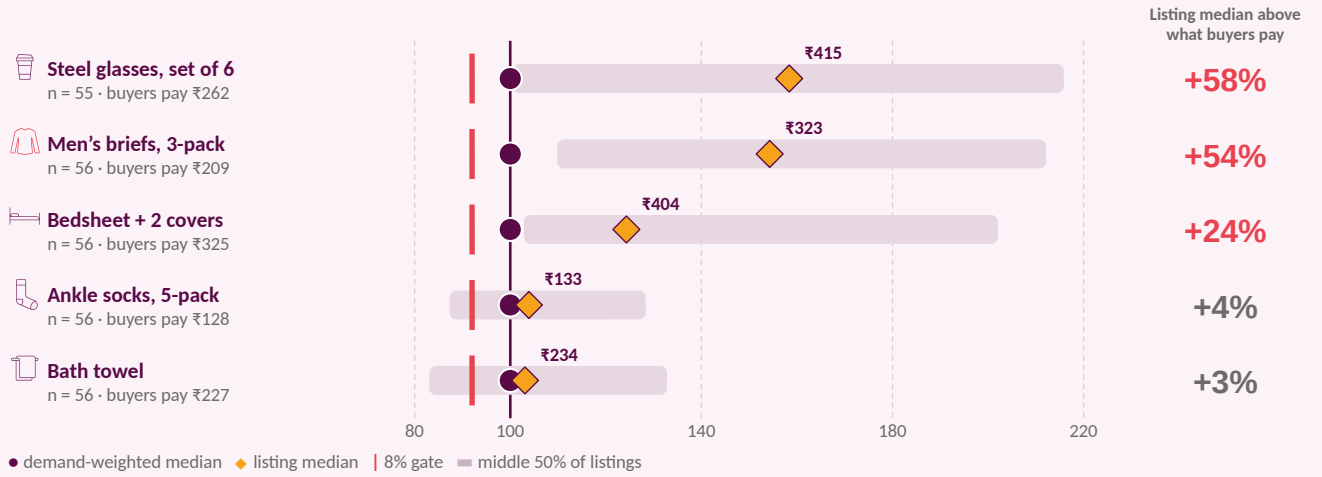
| Criteria | Weight | Tiruppur | Panipat | Ludhiana | Rajkot | Surat |
|---|---|---|---|---|---|---|
| Cost ownership | 0.338 | 5 | 5 | 4 | 4 | 2 |
| Demand on Meesho | 0.256 | 5 | 4 | 3 | 3 | 5 |
| Returns band | 0.179 | 4 | 5 | 4 | 5 | 2 |
| Node feasibility | 0.144 | 4 | 4 | 4 | 3 | 5 |
| Institutional partner | 0.083 | 5 | 4 | 4 | 3 | 3 |
| Score · rank | | 4.68 · #1 | 4.52 · #2 | 3.74 · #3 | 3.70 · #4 | 3.28 · #5 |

*Robust: Surat overtakes Panipat only if the demand weight rises from 0.26 to 0.67; equal weights keep the order.*




Pin = rank; coral = pilot

## Live teardown: what buyers really pay (279 listings, index 100 = demand-weighted median)




## Price gate: assumptions → calculation → result (men's briefs, 3-pack)

**Assumptions**

Listing median ₹322.5
Demand-weighted median ₹209
Gate: SKU ≥ 8% below median
Badge: ≥ 60% of live SKUs clear
Sellers above ₹5 cr GMV
Seller with > 30% of a set's orders scored without its own orders
SKU needs ≥ 10 delivered orders to count
Re-scored weekly; badge off below a 4% gap

**Approach 1: listing median**

gate = ₹322.5 × 0.92 = ₹296.7
**24 of 56 listings clear (43%)**
*Too loose: the badge would sit on 4 in 10 listings, including resellers.*

**Approach 2: demand-weighted median**

gate = ₹209 × 0.92 = ₹192.3
**6 of 56 listings clear (11%)**
*Only real cost edges clear: the badge means something.*

**Result:** factory floor ₹180 → 13.8% below ✓ · reseller ₹220 → −5.4% ✕

| Prototype verdict (180 sellers > ₹5 cr) | Sellers | Action |
|---|---|---|
| C2M-ready | 62 | Badge + re-rank + Demand Brief |
| Scale without price | 84 | No badge; value-tier SKUs |
| Loss-leader pattern | 18 | No badge: catalogue gate holds |
| Near miss | 16 | Node offer; re-score in 28 days |

**Decision: pilot in Tiruppur and Panipat; run the price gate on demand-weighted medians in weeks 1-3 at ₹0 capex. Owner: Category + Pricing · KPI: badge lift ≥ 12% vs holdout by Day 30.**

Sources: S2, S8, S9, S10 team teardown (meesho.com, 2 Oct 2026; 56 listings per query; reviews as demand weights), S11, S20, S22 (cluster scores) | AHP workings: Appendix C | Verdicts: prototype, synthetic sellers

# A prepaid 3-pack costs ₹164 vs a reseller's ₹200.5; of the ₹45 freed, buyers get ₹26.7 and the factory ₹18.3

UNIT ECONOMICS

## Unit economics per 3-pack kept, one change per column (Tiruppur men's briefs)

| | Reseller today | Factory lists direct | + Factory Node | + Prepaid pre-order batch |
|---|---|---|---|---|
| Scenario | *Existing: buys via a wholesaler, ships, stocks* | *Step 1: no wholesaler mark-up* | *Step 2: bulk drop; node packs, ships, grades* | ***Proposed: make confirmed orders + 15%*** |
| Per 100 shipped: failed deliveries | 14.0 | 14.0 | 14.0 | 4.6 |
| Delivered | 86.0 | 86.0 | 86.0 | 95.5 |
| Returned by buyers (8%) | 6.9 | 6.9 | 6.9 | 7.6 |
| **Kept (paid for)** | **79.1** | **79.1** | **79.1** | **87.8** |
| Goods, net of resold returns (₹) | 105.1 | 83.2 | 82.1 | 81.1 |
| Unsold stock written down | 7.1 | 5.6 | 5.6 | 0.9 |
| Logistics: forward + pack / node fee | 72.4 | 72.4 | 70.9 | 68.4 |
| Customer-return fees (₹150 each) | 13.0 | 13.0 | 13.0 | 13.0 |
| Working capital (18% a year) | 2.8 | 2.2 | 2.2 | 0.4 |
| **Cost per pack kept** | **200.5** | **176.5** | **173.9** | **164.0** |
| **Lowest viable price (9% margin)** | **₹220** | **₹194** | **₹191** | **₹180** |
| **Gap vs ₹209 demand-weighted median** | **−5.4%** | **7.2%** | **8.5%** | **13.8%** |
| **Clears the 8% gate (≤ ₹192)?** | **× no** | **× no** | **✓ yes** | **✓ yes** |

**Highest making cost that clears the gate:** ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of factories that qualify.

## One prepaid batch of 1,000 packs at ₹182, stage by stage

| Stage | What happens | ₹ |
|---|---|---|
| **1 · Pre-order window** | 1,000 confirmed; make 1,150 (+15%) | **₹1,82,280 order value** |
| **2 · Handover at node** | 30% advanced by the NBFC | **+₹54,684** |
| **3 · Delivery** | 46 failed (4.6%) · 76 returned | **878 kept** |
| **4 · Revenue on kept orders** | 878 × ₹182.3 | **₹1,60,067** |
| **5 · Fees** | forward ₹40,089 · node ₹20,000 · returns ₹11,454 | **−₹71,543** |
| **6 · Payout, 7 days after delivery** | net of fees; repays the advance | **₹88,524** |
| **7 · Balance to the factory** | payout − advance | **+₹33,840** |

## Where the ₹45 per pack goes (pre-order vs a reseller at ₹209)

**₹45 = ₹36.5 lower cost (no wholesaler, node, batches) + ₹8.5 reseller margin**




- **Buyer:** pays ₹182 instead of ₹209.
- **Factory:** earns ₹18.3 a pack vs ₹7.9 selling ex-factory (2.3×).
- **Meesho:** earns per order, not per rupee: ₹5.8 per C2M order.

## Assumptions (all registered in Appendix B)

**Factory**
Making cost ₹80 a pack
Margin 9% on price
Capital 18% a year

**Market**
Demand-weighted median ₹209
Gate −8% = ₹192
Pre-order ₹10 off

**Logistics**
Forward ₹55 self / ₹42 node
Packing ₹10 · node fee ₹20
Wholesaler +15%

**Returns**
Failed 14% (4.6% prepaid)
Returned 8% of delivered
₹150 return fee · ₹0 RTO fee

**Stock**
Unsold 10% vs 2%
Salvage 50% · recovery 85%/90%
45 vs 10 inventory days

**Decision: price pre-orders at the gate less ₹10 (₹182), funded by the factory's ₹11 batch saving. Owner: Pricing + Category · KPI: factory margin ≥ ₹18 a pack.**

Sources: S10 (₹209 demand-weighted median), S11 (₹150 return fee, ₹0 RTO fee), S12, S13 | Assumptions: A10, A11, A20, A22-A32 (making cost ₹80 to confirm in interviews) | Workings: Appendix C

# ₹75 cr NPV at 12% and payback in Year 3; NPV stays positive down to 45% of planned seller yield

FINANCIAL ANALYSIS

## Five-year case (₹ cr, nominal; NPV = sum of the PV row)

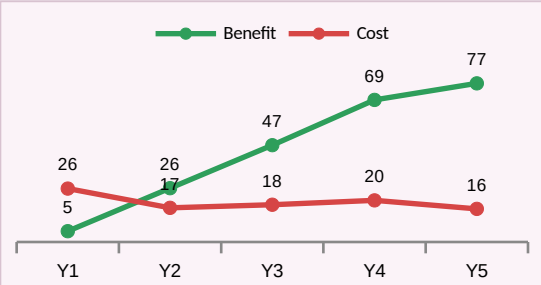
| | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 |
|---|---|---|---|---|---|
| Average active sellers | 200 | 700 | 1,050 | 1,300 | 1,450 |
| C2M NMV, year average | 140 | 700 | 1,260 | 1,853 | 2,066 |
| Placed orders (mn) | 9 | 45 | 81 | 119 | 133 |
| Incremental orders × ₹7.3 | 2.6 | 13.2 | 23.8 | 34.9 | 39.0 |
| Fewer failed deliveries × ₹60 | 2.6 | 12.8 | 23.0 | 33.8 | 37.7 |
| **Benefit to Meesho** | **5.2** | **26.0** | **46.8** | **68.7** | **76.7** |
| People | 3.6 | 6.0 | 7.2 | 7.8 | 7.8 |
| Cluster onboarding | 5.0 | 3.0 | 2.0 | 2.0 | 0.0 |
| Demand Brief | 6.0 | 3.0 | 3.0 | 3.0 | 3.0 |
| Factory Nodes | 7.8 | 2.6 | 2.6 | 2.6 | 0.0 |
| Returns pool, grants, first-loss | 3.4 | 1.9 | 3.2 | 4.7 | 5.2 |
| **Programme cost** | **25.8** | **16.5** | **18.0** | **20.1** | **16.0** |
| **Net cash flow** | **−20.6** | **9.5** | **28.7** | **48.6** | **60.7** |
| *Discount factor at 12%* | *0.893* | *0.797* | *0.712* | *0.636* | *0.567* |
| **PV at 12%** | **−18.4** | **7.6** | **20.4** | **30.9** | **34.4** |

NPV at 12%
**₹74.9 cr**
NPV at 15%
**₹66.1 cr**
IRR
**105%**
Payback
**Year 3**
Discounted payback
**Year 3**
Year-1 cash (+ people)
**₹22.2 cr (+₹3.6 cr)**

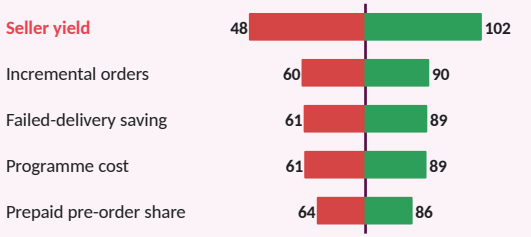
## Opportunity: what each phase is worth (exit run-rates)

| | Pilot · Day 90 | Year 1 exit | Year 4 exit |
|---|---|---|---|
| Clusters · nodes · active sellers | 2 · 1 · 60 | 5 · 6 · 450 | 12 · 12 · 1,400 |
| **Run-rate NMV (× ₹1.425 cr per seller)** | **₹85.5 cr** | **₹641 cr** | **₹1,995 cr** |
| Share of FY26 NMV | 0.2% | 1.5% | 4.8% |
| C2M orders a day (share of Meesho's) | 15,000 (0.2%) | 1,13,000 (1.4%) | 3,52,000 (4.4%) |
| **Buyer savings a year (8-12% gap)** | **₹7.4 cr-₹11.7 cr** | **₹55.8 cr-₹87.4 cr** | **₹173 cr-₹272 cr** |
| Meesho value a year | ₹3.2 cr | ₹23.8 cr | ₹74.0 cr |

## Benefit vs programme cost (₹ cr, nominal)




## Sensitivity: NPV at −20% / +20%




*Base ₹75 cr; left = worse*

## Break-even and scenarios

**NPV = 0 at 45% of planned seller yield (49% of planned benefit).** Positive even with zero incremental orders (₹1 cr) or no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

**Bear −₹10 cr**
20% incremental · 8-pt gap · 75% yield




**Base ₹75 cr**
40% incremental · 15-pt gap · plan yield



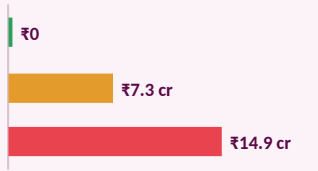

**Bull ₹140 cr**
55% incremental · 20-pt gap · 110% yield




## What changed since Round 1, and how money is released

**Round 1: ₹156 cr NPV counted contribution on every C2M order.** Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr. Value per C2M order = 40% × ₹7.3 + ₹2.8 = ₹5.8.

| | |
|---|---|
| Day 0-30 | ₹0: badge test on existing order data |
| Day 31-90 | ₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed |
| Q2-Q4 | ₹14.9 cr: 3 clusters, 5 nodes, Brief run |



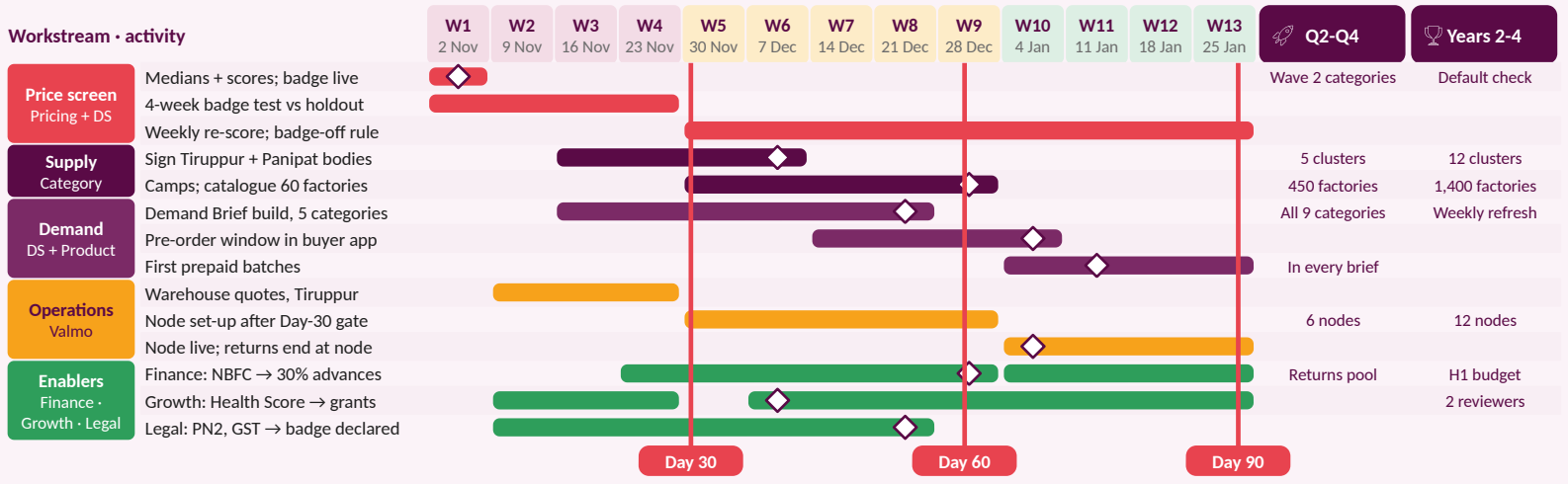

**Decision: approve ₹22.2 cr of Year-1 cash as a capped H2 bet, released at the Day-30 and Day-90 gates. Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr.**

Sources: S1 (₹531 cr contribution on 725 mn placed orders; prepaid 37%; NMV ₹11,614 cr on GMV ₹19,054 cr), S3, S11, S13 | NPV: t = 1..5, year-end, no terminal value; year NMV on average active sellers, ladder at exit run-rates | Assumptions: A3, A4, A8, A11-A21

# Prove the gap by Day 30, sign partners by Day 60, ship prepaid batches by Day 90, on ₹7.3 cr

90-DAY PLAN

## Week-by-week plan for the first 90 days (bars = active weeks · ◆ = milestone · coral lines = gates), then scale




**Day 30 gate**
Fund if badge lift ≥ 12% (interval > 0) and ≥ 70% still clear at D14; else tighten to a 10% gap, or stop

**Day 60 gate**
2 associations signed · 60 factories catalogued · briefs live in 5 categories · NBFC signed

**Day 90 gate**
3 of 4: batches shipped in SLA · returns end at the node · retention ≥ 70% · category NMV ≥ base

**Money released**
₹0 to Day 30 → ₹7.3 cr for Days 31-90 → ₹14.9 cr in Q2-Q4 (Year 1 cap ₹22.2 cr)

## Top risks, sorted by likelihood × impact

| Risk | L | I | Guardrail | Owner |
|---|---|---|---|---|
| The gap was a promotion | H | H | Day-30 stop rule; badge off below 4% | Pricing |
| Export recovery pulls factories back | H | M | Batches fill idle capacity between export runs | Category |
| Quality falls with price | M | H | Suspend at > 1.5× return norm; QC hold | Category |
| Sellers game the badge with a few cheap SKUs | M | M | ≥ 60% of live SKUs must clear; dominant-seller rule | Pricing |
| Node or advances read as inventory control | L | H | Seller keeps title; NBFC lends; 3PL fees at arm's length | Legal |
| Re-rank starves resellers | L | M | ≤ 20% of category impressions; category NMV guardrail | Growth |

## Metrics & KPIs: onboarding → activation → retention, with guardrails (north star: C2M NMV still clearing the gate)

| Stage | KPI | Day 30 | Day 60 | Day 90 | Year-1 exit | Owner · cadence |
|---|---|---|---|---|---|---|
| Scale | Active C2M sellers | Shortlist | 60 catalogued | 60 live | 450 | Category · weekly |
| Onboarding | Qualified → listed within 30 days | — | ≥ 50% | ≥ 50% | ≥ 50% | Category · weekly |
| Onboarding | Days to first prepaid batch | — | — | ≤ 14 | ≤ 14 | Category · weekly |
| Activation | Orders at D7 / D14 vs cohort median | — | — | ≥ 60% | ≥ 60% | DS · daily |
| Activation | Prepaid share of C2M orders | — | — | ≥ 37% | ≥ 68.5% | Finance · weekly |
| Retention | Sellers still clearing the 8% gate | ≥ 70% | ≥ 70% | ≥ 70% | ≥ 75% | Pricing · weekly |
| Retention | Factories active at Day 90 | — | — | ≥ 70% | ≥ 75% | Category · monthly |
| Guardrail | Badge share of category impressions; category NMV | ≤ 20%; ≥ base | ≤ 20%; ≥ base | ≤ 20%; ≥ base | ≤ 20%; ≥ base | Growth · weekly |
| North star | Run-rate C2M NMV clearing the gate | — | — | ₹85.5 cr | ₹641 cr | Finance · monthly |

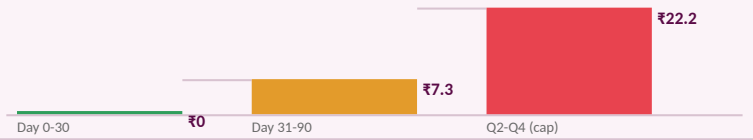
## The ask

**Budget** ₹0 to Day 30; ₹7.3 cr for Days 31-90; ₹22.2 cr cash in Year 1 (+₹3.6 cr people), capped as an H2 bet

**Decisions** (1) run the badge test with a holdout from Week 1; (2) name owners in Pricing, Category, Valmo, Finance, Legal; (3) sign the associations, a Tiruppur node and an NBFC by Day 60; (4) declare the price-gap badge as a ranking parameter before 1 Jan 2027

**Go / no-go** badged NMV per live SKU ≥ 12% above holdout, ≥ 70% still clearing at D14

**Year-1 cash released, cumulative (₹ cr)**



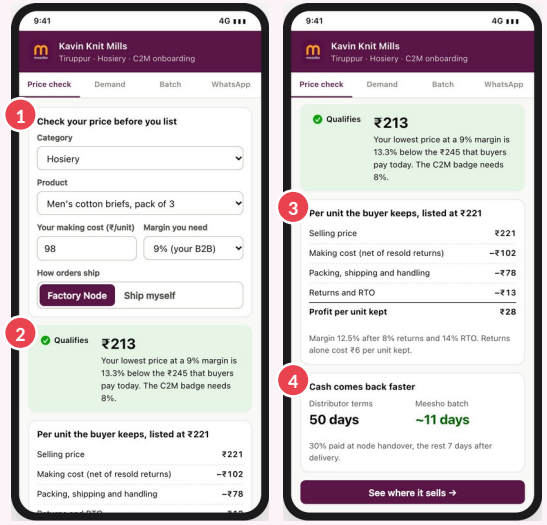

**Ask: approve the ₹0 Day-30 test now and ₹7.3 cr for Days 31-90, released only if the Day-30 gate passes; Year 1 is capped at ₹22.2 cr.**

Sources: S1 (H2 bets: hard budget cap, graduation on adoption and retention), S19 (Press Note 2; E-Commerce Amendment Rules 2026 in force 1 Jan 2027), S26 | Day 1 = Mon 2 Nov 2026 · Day 30 = 1 Dec · Day 60 = 31 Dec · Day 90 = 30 Jan 2027 | Compliance: Appendix C

# Eight phone screens take a factory from “will I make money?” to a prepaid batch, with no e-commerce team

APPENDIX A

## 1 · Price check: will I make money?

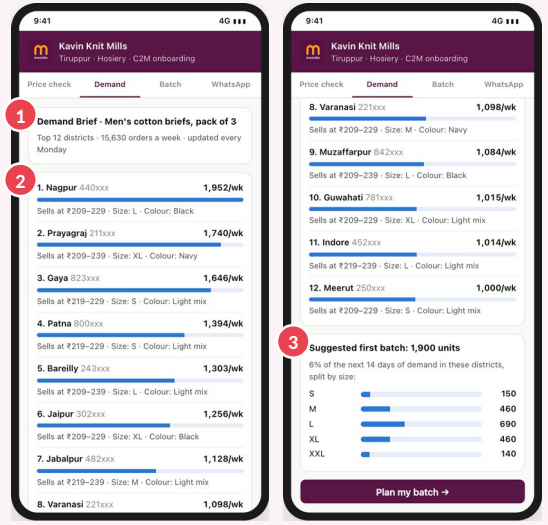



Inputs + verdict | Profit per pack + cash

1. Picks the product, then enters making cost, the margin it needs and how orders ship.
2. Verdict before listing: lowest viable price vs what buyers pay; the badge needs 8% below.
3. Per pack the buyer keeps: making, shipping, returns and failed deliveries, then profit.
4. Cash back in ~11 days (30% at node handover) vs 50 days on distributor terms.

**Removes: unknown margin · returns exposure · slow cash**

## 2 · Demand Brief: is there demand?

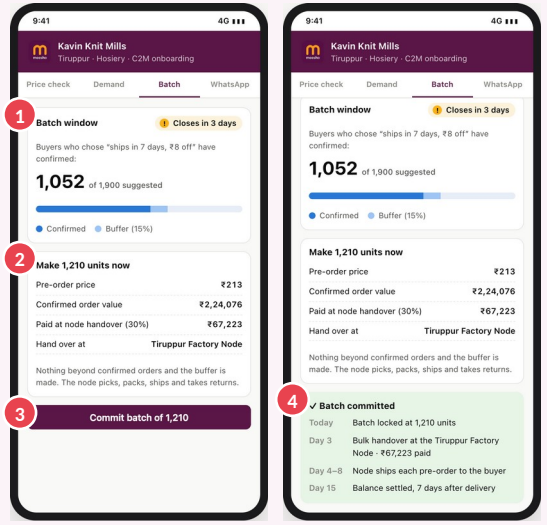



Top districts | Suggested batch

1. This exact product in the top 12 districts: 15,630 orders a week, refreshed every Monday.
2. Each district: orders a week, the price band that sells, the best-selling size and colour.
3. First batch suggested: 1,900 units (6% of 14 days of demand), split by size.
- Built weekly from search and delivered orders, summed by district: no buyer is identifiable.

**Removes: unproven demand · guessing sizes and price**

## 3 · Batch: must I stock up blind?

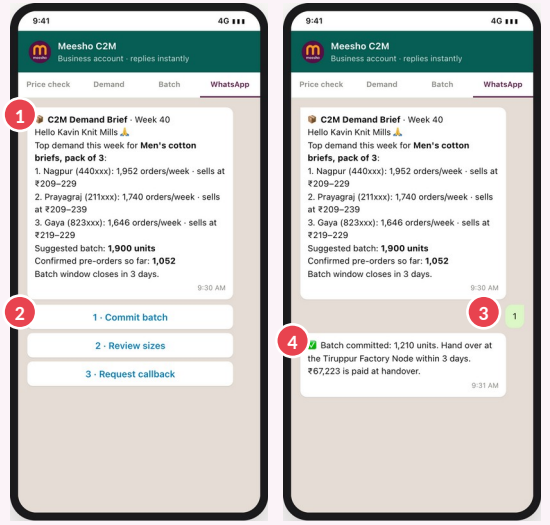



Before commit | After one tap

1. Buyers who accept “ships in 7 days” for a small discount prepay: 1,052 of 1,900 in a 3-day window.
2. Make confirmed orders + 15% buffer = 1,210 units; 30% of confirmed value is paid at handover.
3. One tap commits the batch; nothing beyond it is made.
4. Day 3 bulk handover at the Tiruppur node; Days 4-8 the node ships; Day 15 the balance is paid.

**Removes: build-to-stock risk · unit shipping · cash gap**

## 4 · WhatsApp: no app, no manager




Weekly brief | Reply 1: committed

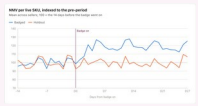
1. The same brief every week on WhatsApp: top districts, price bands, suggested batch, pre-orders.
2. Quick replies: 1 commits the batch, 2 opens the size mix, 3 asks for a callback.
3. The owner replies “1”: no app install, no login, no account manager.
4. Confirmation: units to make, the node to drop them at, and the cash paid at handover.

**Removes: tech know-how · dashboards · account managers**

## Meesho’s side: the control tower (desktop, same link)



**Price Truth Index** every seller above ₹5 cr scored; 7 of the 10 largest fail



**Day-30 readout** badge vs holdout: +18.2% → fund



**Seller Health Score** five signals, the rule that fired, the next action

## What the prototype runs on

| 261 | 4,415 | 9 | 4 |
|---|---|---|---|
| synthetic sellers | SKUs listed | C2M categories | model tests before every deploy |

## Open it live

meesho-dice-c2m-iitb.vercel.app

Mirror: prathmesh-28.github.io/c2m-control-tower

Offline: one HTML file in prototype/dist-single

Screens: the live prototype, captured 4 Oct 2026, on seeded synthetic data; Kavin Knit Mills is fictional. Its inputs (₹98 making cost, ₹245 synthetic median) differ from the costed case (₹80 making cost, ₹209 demand-weighted median)

# Every figure in the deck traces to a numbered source (S1-S26) or a registered assumption (A1-A32) in one master model

APPENDIX B

## Sources (publisher · title · date)

S1 Meesho: Q1 FY27 Shareholders' Letter (quarter to 30 Jun 2026) (Aug 2026)
S2 Meesho: Q4 FY26 earnings call transcript (6 May 2026)
S3 Deccan Herald; Apparel Resources; Inc42: Meesho FY26 results coverage (May 2026)
S4 ICRIER: Annual Survey of MSMEs in India 2025 (n = 2,365, Fig. 16) (Mar 2025)
S5 Ministry of MSME: S.O. 1364(E): revised MSME limits (21 Mar 2025)
S6 RBI: OBICUS, Q2 FY26: capacity utilisation 74.3% (Oct 2025)
S7 Udyam portal (team pull); PIB: Udyam registrations (Jun 2026; 28 Feb 2026)
S8 The Federal; Deccan Herald: Tiruppur output, exports, tariff impact (2025-26)
S9 The Tribune: Panipat textile industry hit by weak demand, high costs (17 Aug 2026)
S10 Team teardown: meesho.com search: 279 live listings, 5 product types (2 Oct 2026)
S11 Shiprocket; Robnu: Meesho seller fee guides (return fee, RTO policy) (2026)
S12 Shiprocket: Fulfilment pricing: ₹24 per order, 500-3,000 orders a month (2026)
S13 GoKwik via Base; TrackVid: COD vs prepaid RTO benchmarks (industry estimates) (2026)
S14 Flipkart newsroom; Business Standard: 0% commission moves (Amazon, Flipkart) (Nov 2025 - 8 Jul 2026)
S15 KrASIA: Pinduoduo New Brand Initiative (end-2019 figures) (2020)
S16 Tech Buzz China: Temu Watch #6: semi-managed share of GMV (27 Dec 2024)
S17 Reuters via FashionNetwork: Shein tried to turn Brazil into a production hub (Feb 2026)
S18 Inc42: MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs onto ONDC (2024)
S19 Khaitan & Co; LexOrbis: Press Note 2 (2018); E-Commerce Amendment Rules 2026 (2018; Sep 2026)
S20 Finnovate; Zappchai (DRHP-based): Meesho category mix estimates (2025)
S21 Apparel Resources: Tirupur rewires its growth playbook (owner interviews) (25 Jun 2026)
S22 Team 23B0747: Round 1 research: 24 interviews, cluster AHP, sizing funnel, category screen (Sep 2026)
S23 Xinhua: Taobao C2M: 10 bn new orders for factories in 3 years (27 Mar 2020)
S24 Alibaba Group: December Quarter 2021 Results (Taobao Deals) (23 Feb 2022)
S25 AFP via Malay Mail: Shein statement on 100-200 item first batches (24 Mar 2024)
S26 Bank of Baroda: E-commerce business loans for marketplace sellers (2026)

## Assumption register (value · source · confidence H/M/L)

| ID | Assumption | Value | Source | C |
|---|---|---|---|---|
| A1 | Mature NMV per C2M seller | ₹1.425 cr | S22 | M |
| A2 | Year-4 capture of SAM | 12% | S22 | M |
| A3 | Average active sellers, Y1-Y5 | 200 → 1,450 | Team plan | M |
| A4 | NMV per seller, Y1-Y5 (₹ cr) | 0.70 → 1.425 | Team plan | M |
| A5 | Typical target factory turnover | ₹25 cr | S5 | L |
| A6 | Meesho NMV in C2M categories | 40% | S20 | L |
| A7 | Price gap passed to buyers | 8%-12% | S22 | M |
| A8 | Incremental share of C2M orders | 40% | Team | L |
| A9 | C2M GMV per order vs average | 10% | A7 | M |
| A10 | Prepaid pre-order share | 50% | survey | L |
| A11 | Failed-delivery gap, COD vs prepaid | 15 pts | S13 | L |
| A12 | Meesho cost per failed delivery | ₹60 | S11, S13 | L |
| A13 | Loaded cost per FTE-year | ₹0.3 cr | Team | M |
| A14 | Programme FTE, Y1-Y5 | 12 → 26 | Team plan | M |
| A15 | Clusters (year-end); onboarding cost | 5 → 12; ₹1 cr each | S22 | M |
| A16 | Demand Brief cost, Y1-Y5 | ₹6 cr, then ₹3 cr | S22 | M |

| ID | Assumption | Value | Source | C |
|---|---|---|---|---|
| A17 | Nodes (year-end); set-up; life | 6 → 12; ₹1.3 cr; 5 yrs | Team | L |
| A18 | Returns firewall pool | ₹3 cr; then 0.1% of NMV | S22 | L |
| A19 | Grant valuation; impressions | ₹75 CPM; 50,000 impr. | Team | L |
| A20 | NBFC advance; Meesho first-loss | 30%; 1% | S26 | L |
| A21 | Discount rate; stress rate | 12%; 15% | S22 | M |
| A22 | Making cost, briefs 3-pack | ₹80 | interviews | L |
| A23 | Target margin on price | 9% | S22 | M |
| A24 | Wholesaler mark-up | 15% | Team | L |
| A25 | Hosiery: failed deliveries; returns | RTO 14%; returns 8% | Team | L |
| A26 | Return fee to seller | ₹150 | S11 | M |
| A27 | Failed-delivery fee to seller | ₹0 | S11 | M |
| A28 | Logistics fees, self / node | ₹55/42 fwd; ₹10/20 | S11, S12 | L |
| A29 | Value recovered, self / node | 85% / 90% | Team | L |
| A30 | Capital cost; inventory days | 18%; 45 vs 10 days | S4 | M |
| A31 | Unsold share; salvage value | 10% vs 2%; salvage 50% | Team | L |
| A32 | Pre-order discount (7-8 days) | ₹10 | survey | L |

## Method and sample

**Teardown:** meesho.com search, 2 Oct 2026; first 56 listings per query; 279 listings, 5 product types; demand weight = review count; plastics query returned none and was dropped.

**Interviews:** 24 owners (8 per cohort, Round 1) + 3 published owner interviews.

**Buyer survey:** [FILL: n, dates, quotas achieved vs target (≥ 150; ≥ 30 per tier); stated intent counted at 50%]

**Power:** 62 sellers × 28 days, SE ≈ 1.6 pts, MDE ≈ 4.5% at 80% power.

| 279 | 24 | 62 × 28 | 4.5% |
|---|---|---|---|
| listings | owner interviews | sellers × days | MDE at 80% power |

## Workings index (formulas)

**Sizing:** NMV = sellers × ₹1.425 cr; savings = NMV × g ÷ (1 − g)

**Unit cost:** (make + unsold − resold + logistics + returns + capital) ÷ kept

**Benefit:** orders × (incremental × ₹7.3 + Δfailed × ₹60)

**Δfailed:** pre-order share × (1 − 37%) × 15 pts = 4.7 pts

**AHP:** geometric means, CR = (λ − 5) ÷ 4 ÷ 1.12 (Appendix C)

**RICE:** reach × impact × confidence ÷ effort



# Detailed benchmarking, compliance by design, and the workings behind the cohort, cluster and unit-cost numbers

APPENDIX C

## Detailed benchmarking: KPI × company (dated, sourced) and how Meesho uses it

| | Pinduoduo NBI | Taobao C2M | Temu semi-managed | Shein | Shein Brazil |
|---|---|---|---|---|---|
| Year of data | End-2019 | 2020; Dec 2021 | Q3 2024 | Mar 2024 | Apr 2023 - Feb 2026 |
| Factories / merchants | 900+ in C2M production | 1,000 “super factories” targeted | +80,000 planned for 2025 | Network (not disclosed) | 336 signed of 2,000; 1 producing |
| Demand data to factories | ✓ anonymised | ✓ consumer insight | - platform prices | ✓ real-time | × |
| Who holds stock | Factory | Factory | Merchant, local warehouse | Shein | Factory |
| Batching | Custom runs | C2M runs | — | 100-200 item first runs | Large runs, fast |
| Price lever | Demand scale | Finance + insight | Platform-set | Small batches | ~30% price-cut asks |
| How Meesho uses it | Demand Brief | NBFC prepayment | Seller-owned node | Pre-order batches | Never ask for cuts |

## Compliance by design

| Rule | Requires | Our design |
|---|---|---|
| Press Note 2 (2018) | Marketplace may not own or control seller inventory | Seller keeps title at the node; Valmo sells warehousing at arm’s length |
| Press Note 2 (2018) | Fair, non-discriminatory services; no exclusivity | Badge and grants are published rules any seller can meet |
| E-Commerce Rules, 2026 amendment (from 1 Jan 2027) | Ranking parameters by importance; sponsored labelled | Publish the price-gap badge as a ranking parameter; grants are organic, never sold |
| Dark-pattern guidelines (2023) | No false urgency or hidden terms | “Ships in 7-8 days, ₹10 off” shown before payment |
| DPDP Act (2023) | Protect personal data | Demand Briefs use district aggregates only |
| GST | Stock at a third-party site | Node registered as the seller’s additional place of business |

## Cohort scoring behind the personas

| Cohort | Price edge 30% | Pool size 25% | Fixable 20% | Speed 15% | New supply 10% | Score |
|---|---|---|---|---|---|---|
| A · Offline B2B | 5 | 5 | 4 | 2 | 5 | 4.35 |
| C · Churned | 4 | 2 | 5 | 5 | 1 | 3.55 |
| B · Online elsewhere | 3 | 3 | 2 | 4 | 4 | 3.05 |

**Rubric (5 =):** price edge: sells ex-factory B2B · pool: > 50% of SAM · fixable: all HIGH barriers fixable · speed: KYC + catalogue on Meesho · new supply: new to Meesho. *Equal weights give the same order (4.2 / 3.4 / 3.2).*

## AHP workings (CR 0.016)

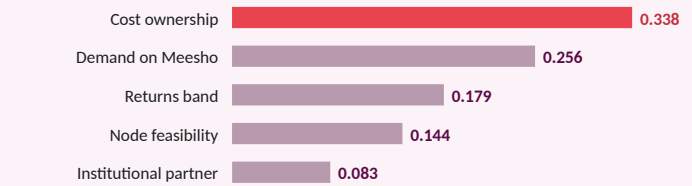
**Method:** reciprocal 1-9 matrix → geometric mean of each row → weight = mean ÷ sum of means.

**Consistency:** λmax = 5.072; CI = (λmax − 5) ÷ 4 = 0.018; CR = CI ÷ 1.12 = 0.016 < 0.10.

**Check:** weights 0.338 / 0.256 / 0.179 / 0.144 / 0.083 reproduce Round 1’s cluster scores (Tiruppur 4.68, Panipat 4.52).

**Robustness:** Surat overtakes Panipat only above a 0.67 demand weight.

**Criterion weights (sum = 1.00)**




## Unit-economics workings (per 100 shipped)

**Kept units** = 100 × (1 − RTO) × (1 − returns) = 79.1 (prepaid: 87.8)

**Unsold** = extra units made × cost × (1 − 50% salvage); 10% build-to-stock vs 2% batch

**Logistics** = delivered × forward fee + shipped × packing (₹10) or node fee (₹20)

**Capital** = make cost × 18% × days ÷ 365 (45 vs 10 days)

**Floor** = cost per kept ÷ (1 − 9%) → proposed ₹164.0 ÷ 0.91 = ₹180.2

**Reconciliation checks** NPV ₹74.9 cr = Σ PV row ✓ · Year-4 NMV ₹1,853 cr (average 1,300 sellers) vs ₹1,995 cr exit run-rate (1,400) ✓ · batch payout ₹88,524 = revenue − fees ✓ · RICE order = dependency order ✓

**Cost per pack kept (₹), each lever added**




Sources: S15-S19, S22-S25 | Compliance rows are design responses, not legal advice: Meesho legal confirms each before the pilot